IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CP(CAA) 54/BB/2017

& CP(CAA)55/BB/2017

Under Sections 230 to 232 of Companies Act, 2013

Order delivered on 15th March 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)

Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALAGAMATION

IN THE MATTER OF

SANKALP & KPIT SEMICONDUCTOR PRIVATE LIMITED

WITH

SANKALP SEMICONDUCTOR PRIVATE LIMITED

Sankalp Semiconductor Private Limited
Plot No.9, Survey No.89
Aryabhatta Tech Park
Navanagar, Hubli
Karnataka – 580 025
Represented by Mr.Veerendra Baligeri .. Petitioner/Transferee Company
CP(CAA) 55/BB/2017

Sankalp & KPIT Semiconductor Private Limited
Plot No.9, Survey No.89
Aryabhatta Tech Park
Navanagar, Hubli
Karnataka – 580 025
Represented by Mr.Nagaraj A. .. Petitioner/Transferor Company
CP(CAA) 54/BB/217

For the Applicant(s): Mr. Madhukar S., Advocate
M/s Kocchar & Co., Advocates
201, Prestige Sigma
No.3, 2nd Floor
Vittal Mallya Road
Bengaluru – 560 001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical) - (Author)

Heard on: 29.09.2017, 10.10.2017, 27.11.2017, 04.01.2018, 31.01.2018, 21.02.2018

software, operating systems, data management systems, digital systems, storage systems, memory systems, information systems and the like.

ii. To design, manufacture, develop, program, test, distribute, import, export, install, licence, lease, alter or otherwise deal in or with all software, proprietary software, including application software, hardware and programs of any and all kinds and description including but not limited to customer interaction management solutions, eBusiness applications, software applications and software for internet and web services, entertainment and to provide for software, hardware or programmers consultancy services related to the preparation, installation and maintenance and to carry on generally all or any of the business of research and development.

iii. To engage in the business of VLSI and software design and consultancy and to undertake research and carry on development activities of VLSI products and software products of all kinds and descriptions and to undertake and carry on the business of rendering services and development of hardware systems and software packages for providing complete communication solutions in India and or outside India.

The copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner/Transferee Company are shown as Annexures-C and D respectively.

The Authorised Share Capital of the Petitioner/Transferee Company as on 31st March 2016 is Rs.1,60,00,000/- divided into 80,00,000 Equity Shares of Rs.2/- each and the issued, subscribed and paid up Equity Share Capital is Rs.1,19,27,134/- divided into 59,63,567 Equity Shares of Rs.2/- each. The copy of the audited financials of the Petitioner/Transferee Company as on 31st March 2016 is produced as Annexure-E.

The current Authorised Share Capital of the Petitioner/Transferee Company is Rs.1,60,00,000/- divided into 80,00,000 Equity Shares of Rs.2/- each and Rs.11,00,00,000/- divided into 11,00,000 Convertible Cumulative Redeemable Preference Shares of Rs.100/- each. Thus the total Authorised Capital is Rs.12,60,00,000/-. The issued, subscribed and paid up capital comprising 59,63,567

(iii) To act as manufacturers, buyers, sellers, importers, exporters of, or otherwise deal in all kinds of conductors of electricity in different configuration and round or grooved copper wires whether insulated or not for use in tramways, trolleys, buses, railway cranes, motor/generator windings, transformers, switch gears, lightning conductors aerials, furnaces, ship wiring, switch-boards, bells, fuses, welding and steel wires/ropes, including various compounds are armouring and filling material used for the manufacture of telephones and telecommunication cables.

(iv) To engage in the business of VLSI development, testing and consultancy and to undertake research and carry on development activities of VLSI products of all kinds and descriptions and to undertake and carry on the business of rendering services and development of hardware systems and solutions for providing complete and not limited to digital consumer, communication, networking, industrial, automotive, medical, defence, aerospace solutions in India and or outside India.

The Board of Directors of the Petitioner/Transferee Company and the Petitioner/Transferor Company have by their respective resolutions passed on 24.08.2017 and 21.06.2017 respectively approved the modification to be made to the scheme of amalgamation to reflect the change in the authorised and paid up share capital of the Petitioner/Transferee Company. A copy of the amended scheme of amalgamation is produced as Annexure-A1. The copies of the relevant board resolutions passed by the Petitioner/Transferee Company and the Petitioner/Transferor Company approving the modification of the scheme of amalgamation are produced as Annexures-F1 and F2 respectively.

That the Petitioner/Transferee Company and the Petitioner/Transferor Company had filed CA No.699/2016 before this Tribunal seeking to dispense with convening of the meetings of Equity Shareholders and Unsecured Creditors of the respective companies. The copy of the order of the Tribunal in CA No.699/2016 is produced as Annexure-H to this petition.

This Tribunal by its Order dated 10.10.2017 directed the Petitioner/Transferee and Petitioner/Transferor Companies to issue notice to Regional Director, Ministry of

Transferee Companies have not filed GNL-1 and that the petition may be decided on merits.

The Registrar of Companies has also filed on 15th February 2018 an affidavit dated 14.02.2018 on behalf of Central Government/Regional Director, MCA, South East Region, Hyderabad that the scheme has been examined by the Directorate with reference to the information and documents provided by the Petitioner Companies and stated that the Directorate has no objection for the instant scheme.

On the prayer made by the Official Liquidator in OLR No.169/2017 in CP(CAA) No.54/BB/17, vide order dated 27th November 2017 M/s Sudhakar Hegde & Co., Chartered Accountants were appointed to scrutinise the Books of Accounts and records of the Petitioner/Transferor Company. Upon scrutiny of Books & Records and other material made available by the Transferor Company M/s Sudhakar Hegde & Co., have submitted report dated 11th January 2018. Pursuant to the same, the Official Liquidator has filed a report in OLR.No.10/2018 in CP(CAA) No.54/BB/2017 on 24th January 2018 stating that the Company has maintained proper books and records and that the affairs of the Company have not been conducted in a manner prejudicial to the interests of the members or to public interest. The Income Tax Department has not filed any objections to this scheme in pursuance of notice issued. There is no response from Income Tax Department.

The Counsel for the Petitioner Companies have filed the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of Companies Act, 2013 read with Rule 7 of the Companies (Account) Rules, 2014. The said certificate is produced as Annexure-J to this petition. The counsel for the Petitioner has also confirmed that the swap ratio of shares will be done as per the Chartered Accountant's valuation report submitted on 20th September 2017 to this Tribunal.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp

Both the Transferor and Transferee Companies will ensure filing of GNL-1 immediately.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

15/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

15/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL

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